Tesla, Inc.

TSLA NASDAQ

Hold	$394.48 ▲ 5.98%	12M Price Target	52-Week Range	Market Cap
		$420.00	$297.38 – $498.83	$1.56T

TSLA: Bouncing Hard, But Options Flow Says Be Careful

WHAT HAPPENED

- TSLA ripped +6% today after a choppy week — stock had been bleeding for three sessions and then snapped back on big volume (40M shares). Tech led the whole market higher (+1.93%), so a lot of this is just TSLA being the highest-beta mega-cap getting the biggest bounce when risk-on returns.
- But here's the thing that caught my eye — the options flow is screaming caution. Someone bought 155,000 PUTS at the $395 strike (a put is a bet the stock goes DOWN) — that's 925x the normal open interest. That's not a hedge, that's someone with real money betting this rally fades fast.

WHY IT MATTERS

This looks like a technical bounce more than a fundamental shift — no news, no filings, just TSLA snapping back with the broader tech tape. The massive put buying at $395 (right where we closed) tells me institutions are either hedging gains or outright betting we revisit the lows — either way, smart money isn't chasing this. The bigger picture: the $7,500 EV tax credit expired in September 2025 under the Trump administration's reconciliation bill, and we're now seeing the demand hangover — Q3 deliveries were propped up by pull-forward buying, and Q4 is going to show the real damage. TSLA at $1.56T isn't a car company valuation anymore — you're paying for Robotaxi (launched in Austin, slowly expanding) and Optimus robots to actually work at scale, and that's a 2027+ story.

POLICY & POLITICAL WATCH

The regulatory tailwind right now is the NHTSA's loosened autonomous vehicle rules — the Trump admin has been pushing a federal AV framework that overrides state-by-state rules, which is HUGE for Robotaxi expansion (no more fighting California DMV). On the flip side, tariffs on Chinese battery materials and rare earths are a real margin headwind — TSLA's Shanghai Gigafactory and battery supply chain are exposed, and if the China trade truce frays, auto gross margins get squeezed. Watch for any Congressional pushback on the AV preemption bill — Democrats are trying to attach safety mandates that could slow Robotaxi deployment.

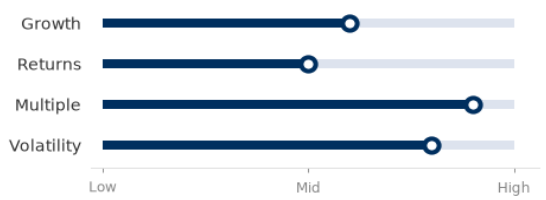
IS IT EXPENSIVE?

At ~160x forward earnings, you're paying $160 for every $1 of profit TSLA makes next year — Ford trades at 8x, Toyota at 10x. That's only justifiable if you believe Robotaxi and Optimus turn this into a trillion-dollar AI/robotics platform, not an automaker. Right now you're paying a story-stock multiple on a business whose core (auto) is actually shrinking margins — the gap between narrative and fundamentals is as wide as it's been in years.

Key Data

Price (USD)	**$394.48**
12M Price Target	**$420.00**
Upside / (Downside)	**+6.5%**
Market Cap	**$1.56T**
FY2026E Revenue	**$112M**
FY2027E Revenue	**$135M**
FY2026E EPS	**$2.45**
FY2027E EPS	**$3.80**
Fwd P/E	**161.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$430.00**	$400.00	**$355.00**
6 Months	**$475.00**	$410.00	**$320.00**
1 Year	**$525.00**	$420.00	**$290.00**
2 Years	**$625.00**	$450.00	**$250.00**
5 Years	**$900.00**	$550.00	**$200.00**
10 Years	**$1500.00**	$750.00	**$150.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.93%) and Industrials (+1.49%) — AI capex cycle is still the dominant trade, and the AV/robotics narrative is pulling TSLA into the AI bucket more than the auto bucket. Energy strong on 5-day (+2.69%) as oil firms up.

COOLING OFF: Consumer Discretionary flat on 5-day (-0.19%) — consumer is weakening, which is a real risk for big-ticket EV purchases heading into year-end.

ROTATION WATCH: Money is flowing back into mega-cap tech after last week's pullback — TSLA is riding that wave, but it's a rising-tide move, not a TSLA-specific catalyst.

RELATED PLAY: If you believe the Robotaxi/AV story, NVDA (chips powering the autonomy stack) and MBLY (Mobileye, pure-play ADAS) are second-order plays. For the robotics angle, SYM (Symbotic) is a smaller name benefiting from the same automation thesis.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): AI chip demand still insatiable — every autonomy and robotics ambition requires their GPUs, so they win whether TSLA succeeds or fails
- GOOGL (Alphabet/Waymo): Waymo is quietly scaling AVs faster than Robotaxi in actual rider-miles — the under-the-radar AV leader

TSLA CONTEXT: TSLA is matching the tech tape today but LAGGING pure-AI names on a 5-day basis — the market is treating it as a hybrid auto/AI name, which caps the upside until Robotaxi shows real revenue. If TSLA can't break $400 and hold, the put buyers were right and we see $370 again fast.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term AI/robotics optionality but the setup today looks like a bounce to fade, not a breakout to chase.

POSITION SIZE: 2-4% of portfolio — this is a high-volatility name, and sizing matters more than being right. Don't let it become 10% of your book just because it rips.

ENTRY POINTS: I'd wait for a pullback to $360-375 — that's where TSLA has been finding buyers, and the massive put flow suggests we might get there soon.

TIME HORIZON: 12-24 months — the catalyst is Robotaxi expansion beyond Austin and the first Optimus commercial deployments. Both are 2026-2027 events.

WHEN TO BAIL: If auto gross margins drop below 15%, Robotaxi rollout stalls, or Musk steps back from CEO duties — any one of those breaks the bull case.

HEDGING: Simplest hedge is just owning less. If you want fancier, buy out-of-the-money puts 3-6 months out — think of it as insurance that costs ~2-3% of position value and pays off huge if TSLA cracks.

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